

**THE MOVABLE PROPERTY SECURITY RIGHTS ACT, 2017
SECURITY AGREEMENT**

THIS SECURITY AGREEMENT made the.....day of.....20..... **BETWEEN**.....
.....ID/NO.....

Of P.O. BOX No..... In the Republic of Kenya (herein after called "**the Grantor**") which expression shall where the contexts so admits include his personal representatives and assigns of the one part AND **JAWABU BIASHARA LIMITED** of P.O. Box No. 14457-00100 Nairobi in the Republic of Kenya (herein called "**the Grantee**") which expression shall where the context so admits include its successors, receivers and assigns of the other part advancing the sum of Kenya shillings (Kshs) or such lower amount as may for the time being and from time to time be fixed by the Grantee in its sole discretion made available to me or to (Name of Borrower) of Post Office Box Number..... upon having the same secured in the manner and upon the terms and conditions set out hereinafter HEREBY ASSIGN AND TRANSFER all my rights, title, estate and interest in and to the Security set out in the Schedule hereto to the Grantee by way of Agreement as continuing security for the payment and satisfaction in full of the secured obligations (as defined below):

WHEREAS

- a) **The Grantor** is the absolute owner of all the items specifically listed in Schedule "A" attached herewith (hereinafter called "the Security(s)").
- b) **The Grantor** at his/her own request and instance or others whom **the Grantor** is surety or has guaranteed and have requested to be advanced banking facilities by **the Grantee** in the sum of Kenya Shillings..... (hereinafter called "Principal amount"), or other payments that shall fall due thereof assigns and transfers all his right, title, estate and interest in and to the Security to the Grantee by way of Agreement as a continuing security for the payment and satisfaction in full of the Principal amount and interest and or other payments that would fall due thereof and any other charge that may fall due and owing to the Grantee under this instrument.

NOW IT IS HEREBY AGREED AND DECLARED AS FOLLOWS: -

1. That the Grantor will on demand duly pay to the Grantee monies aforesaid together with interest thereon as may be changed by the Grantor at Grantee's sole direction as to the interest chargeable. The Grantee further reserves the sole right discretion to alter the rates from time to time in accordance with the market rates without giving the Grantee prior notice.
2. All payments of the monies aforesaid for which this Security Agreement is security shall be payable by the Grantor on demand.
3. That the Grantor will keep and maintain the Security in good order and condition and will be fully responsible for any loss thereof or damage thereto however occasioned and will give immediate notice in writing of any such loss or damage to the Security to the Grantee. The Grantee may in its sole direction require the Grantor to undertake at the Grantor's expense such repairs to the Security as the Grantee shall deem necessary and appropriate by a person approved by the Grantee in writing.

4. That the Grantor shall not remove any parts of the Security or some of the Security without the Grantee's permission in writing.
5. That the Grantor shall pay all duties, fees and registration charges in respect of the Grantor's business wherein the Security shall be and in addition must insure the Security with a reputable insurance company for the duration of this security in the joint names of the parties herein and deliver the said policy or policies to the Grantor. In default the Grantee may (but is not bound to) pay for the insurance and all monies expended by the Grantee for such purposes together with interest and charges as the Grantee may charge shall be a charge upon the Security.
6. The Grantor shall NOT sell, let, assign or create any encumbrance over or otherwise dispose of the Security or any component part thereof and will not remove, change or interfere with any identification number, trade mark or other identification mark upon the Security or any part thereof and will not, without prejudice to the generality of the foregoing, create or permit to exist any lien on the Security or pledge over the Security either in the event of such Security being taken for repairs thereto or otherwise howsoever and will at all times keep the Security free and excepted from any distress for rent, execution or other legal process.
7. The Grantor shall permit the Grantee's Authorized Officers and or Agents at all reasonable times to enter the premises where the Security may be kept for purposes of inspecting and examining their condition thereof.
8. The Grantee reserves the right to consolidate and or combine or set off all of the Grantor's accounts (if applicable) without notice to the Grantor including accounts in the name of the Grantor or jointly with others and set off or transfer any monies in the credit of anyone or more such accounts in or towards satisfaction of any obligation and liabilities of the Grantor to the Grantee whether such liabilities be present, future, several or joint.
9. The Grantee hereby reserves the right to consolidate all Agreements and charges which the Grantor may from time to time hold on any account whatsoever and it is hereby declared that neither the Security nor any other property of the Grantor which at any time during the continuance of this security is subject to an Agreement or a charge in favour of or vested in the Grantee shall be redeemed except on payment not only of the moneys hereby or thereby secured but also of all monies secured by every such Agreement or charge (including this Instrument).
10. During the continuance of this security the Grantor shall punctually pay all registration charges license, fees, rent, rates, taxes and other outgoings payable in respect of the Security or the use thereof and produce to the Grantee or their authorized agents on demand, the last receipt for all such payments.
11. At any time after the principal (or a part thereof) and other monies hereby secured shall have become immediately due and payable hereunder, the Grantee may appoint in writing any person or persons;
 - (a) To enter (either personally or by its servants or agents and either accompanied by workmen and others or not so accompanied) upon any land or buildings whereof the Security may for the time being be upon;
 - (b) To take possession or collect and remove the Security;
 - (c) To sell or let or concur in selling or letting the Security in such manner and generally on such terms and conditions as he shall think fit and to carry any such sale or letting into effect in the name of the Grantor or otherwise;
 - (d) To do all such other acts and things as may be incidental or conducive to any of the matters and powers aforesaid.
12. No relaxation forbearance delay or indulgence by the Grantee in enforcing any of the terms of this Security Agreement or granting of time by the Grantee to the Grantor shall prejudice affect or restrict the rights and powers of the Grantee hereunder nor shall any waiver hereunder or any subsequent or any continuing breach hereof.

13. The security hereby given to the Grantee shall be without prejudice and in addition to any other security whether by way of pledge legal or equitable Agreement or charge or otherwise which the Grantee may now or at any time hereafter hold on any other property and assets of the Grantor for or in respect of all or any part of the indebtedness or the Grantor to the Grantor or any interest thereon.
14. The Grantee shall be entitled to assign the benefit of the Security Agreement or any right or rights hereunder including the right conferred on the Grantee to enter upon land or buildings to inspect the Security and to repossess the same and any assignment of the benefit of this Security Agreement shall be deemed to include an assignment of the Grantee's rights to enter and repossess.
15. The parties hereto expressly adopt the covenants for title set out in the second Schedule to the Security Transfer Act (Chapter 28) and such of the covenants provisions agreements powers and definitions set out in the Third and Fourth Schedule thereto as are applicable to these presents and are not inconsistent herewith and the same shall be implied herein as if this were an instrument under the said Act.
16. Any notice to be given hereunder to the Grantor shall be deemed to be duly served if left at the principle place of business of the Grantor or if sent by post to the Grantor to the address hereinabove referred to provided that in the case of any notice served by post such notice shall be deemed to have been given and served five (5) days after posting provided further proof is given that the notice was properly addressed and adequately stamped and put into post.
17. The Grantor shall pay Legal and any other costs and expenses of and incidental to the preparation and enforcement of this Security Agreement and pending payment by the Mortgagor the said costs and expenses shall be a first charge upon the Security **AND FURTHER** the Grantor hereby authorizes the Grantee with the said installments interest legal and valuation costs and any other costs and expenses as aforesaid and all other monies payable by the Grantor to the Grantee under this Security Agreement.
18. At any time during which all monies and liabilities hereby secured have been completely paid off and satisfied by the Grantor to the Grantee together with all interest due thereon and the Grantor has paid to the Grantee all costs and expenses incurred by the Grantee in relation to this Security Agreement or otherwise in relation to the Grantor shall effect a discharge of this Security Agreement by securing a Memorandum of Satisfaction.
19. Each of the provisions of this instrument is severable and distinct from the others and if at any time one or more of such provisions is or becomes invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions hereof shall not in any way be affected or impaired thereby.

IN WITNESS WHEREOF the said The Grantor(s) has / have Hereunto affixed his/her/ their hand the day and year first herein before written.

THE SCHEDULE HEREIN BEFORE REFERRED TO SCHEDULE "A"

1. MOTOR VEHICLE

<u>DESCRIPTION</u>	
TYPE	
REGISTRATION NUMBER	
YEAR OF MANUFACTURE	
ENGINE NUMBER	
MAKE	

MODEL	
CHASIS NUMBER	
COLOUR	
NAME OF OWNER	

2. OTHER ITEMS

<i>Item No</i>	<i>DESCRIPTION</i>	<i>SERIAL NO.</i>	<i>YEAR PURCHASED</i>	<i>VALUE KSH.</i>

Principle Amount..... (In words).....

I hereby declare and confirm that I am the legal beneficial owner of the Security listed herein. The Security are free and clean from encumbrances by way of Agreement, charge, pledge, lien, hypothecation, assignment, trust, arrangement or other encumbrances whatsoever. I undertake to comply with all the conditions of the instrument.

Signed By The Grantor(s)Signature(s).....

Signed By The Grantor's SpouseSignature(s).....

In The Presence Of an Advocate

I CERTIFY that the above-named person(s) appeared before me on theday of.....20.....

and, being known to me/being identified by.....acknowledged the above signatures or marks to be theirs and that they had witnessed the affixation of the signatures or marks on this documents and further that they had freely and voluntarily executed this instrument and Understood its contents.

.....

Signature and Designation of Person Certifying

REPUBLIC OF KENYA
IN THE MATTER OF THE SECURITY TRANSFER ACT
CHAPTER 28 LAWS OF KENYA
AFFIDAVIT

I.....of P.O. Box Numberand residing In Nairobi and an Advocate of the High Court in the Republic of Kenya hereby Make oath and state as follows.

1. The paper in writing hereto marked 'A' is a true copy of an instrument under the afore mentioned Act, and of every schedule of inventory thereon endorsed or thereto annexed or therein referred to and of every attestation of the execution thereof, and made ,given and executed by(hereinafter referred to as the Beneficial Owner(s)).
2. The instrument was made and given by the Beneficial Owner(s) on the.....day of20.....
3. I was present and saw the Beneficial Owner(s) duly execute the said instrument the.....day of20.....
4. The Beneficial Owner(s) resides atin the Republic of Kenya and is ofNationality.
5. The name subscribed in the said instrument as that of the person attesting the due execution thereof by the Beneficial Owner(s) is in the proper handwriting of me the deponent herein.
6. That what is deponed to herein is true to the best of my knowledge and belief.

Sworn by the said.....at.....this.....day of20.....

In the presence of	) -----
	) Deponent
	)
	)
A commissioner of Oaths	)